

Inflation Dynamics and the BoC Path - February 2025

Date: March 4, 2025 | Ref: MC-2025-02

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Canadian Inflation Update

Statistics Canada's February CPI release showed headline inflation at 2.3% year-over-year - modestly above the 2.1% January reading and the 2.1% consensus estimate. The upside surprise was concentrated in shelter costs (rent +7.8% YoY), food (+3.4% YoY), and motor vehicle insurance (+12.1% YoY). Core inflation measures (CPI-median 2.7%, CPI-trim 2.9%) remain above the BoC's 2% target midpoint but are trending lower.

The Bank of Canada acknowledged the inflation uptick at its March 12 meeting but delivered the expected 25bp cut, bringing the overnight rate to 3.00%. Governor Macklem's press conference struck a cautious tone - noting that while the direction of travel for rates is lower, the pace of cuts will be data dependent. Markets are now pricing 2-3 additional cuts in 2025 versus 4 cuts priced at the start of the year.

Fixed Income Market Reaction

Canadian bonds sold off modestly on the inflation data with 2-year Government of Canada yields rising 8bp and 10-year yields rising 5bp. The curve flattening suggests markets are pricing in a shallower but still positive easing cycle. The FTSE Canada Universe Bond Index returned -0.3% in February, reversing part of January's +1.1% gain.

We maintain our long-duration bias in fixed income. The BoC easing cycle has further to run, and Canadian government bonds offer attractive value versus US Treasuries at current spread levels. The widening of the Canada-US 2-year spread to -95bp (Canada yields 95bp below US equivalents) creates currency risk for unhedged US bond investors but is attractive for domestic investors holding CAD-denominated bonds.

Equity Market Impact

Equity markets shrugged off the inflation data with the TSX gaining 0.8% on the day of the BoC decision. Banks performed well on the rate cut news. Utilities and REITs also gained as lower rates improve the relative income appeal of these sectors. Technology was mixed with domestic names like Shopify (+2.3%) outperforming US technology peers.

Portfolio Action Summary

No changes to strategic asset allocation. Tactical adjustments: (1) Added to Canadian bank position following Q4 2024 earnings season where all Big Six banks reported results modestly above consensus; (2) Reduced cash position from 3% to 2% as opportunities in core asset classes are more compelling; (3) Re-initiated position in BCE following dividend cut and strategic restructuring announcement - yield of 8.2% appears sustainable post-restructuring.